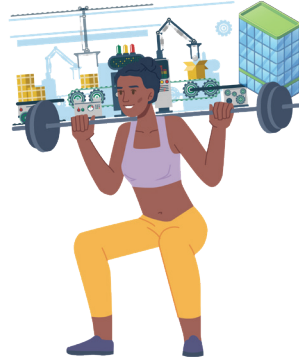


EXAMPLE

Plants, machinery, and buildings form the largest chunk of the company's assets. So, these can be considered productive assets as these items are productive items. Productive assets should directly contribute to the production function.



Productive Assets

We will divide all company's assets into productive and unproductive assets.

Any other item that helps in the day-to-day business but does not directly contribute to production function falls under unproductive fixed assets. These include all furniture and fixtures, office equipment other than plants and machinery, computers, and all other assets required for company operations.



Unproductive Assets

It is important to understand that productive fixed assets differ for different companies. For example- for an IT company, computers fall into the productive fixed assets category.